Our ref: IR (7) 22/23 and ICM23/100

Tom & Co Legal Pty Ltd
PO Box Z5567
Perth WA 6000

Attention: Mr Tom Monks

By email to: info@tomandcolegal.com.au

Notice of internal review decision
Section 100 of the *National Disability Insurance Scheme Act 2013* (NDIS Act)

Dear Mr Monks

I refer to the email received by the NDIS Quality and Safeguards Commission (the NDIS Commission) on 25 January 2023 requesting an internal review of the decision made on 21 December 2022 to impose a banning order against your client, Mr Simon Reid, for a period of 5 years under section 73ZN(2)(a)(iii) of the NDIS Act (**the original decision**).

I am the delegate of the NDIS Commissioner for the purposes of section 100 of the NDIS Act, and am authorised to make a decision on this internal review.

The internal review decision
I have decided to **vary** the original decision. This means the banning order made against Mr Reid remains in place, however, it is changed or altered in some respect.

The variation I have decided to impose is to broaden the scope of the banning order to make it explicit that Mr Reid is to have no involvement with or in the NDIS sector, in any capacity. This includes Mr Reid being prohibited from:

a) providing disability supports and services, directly or indirectly, to NDIS-funded participants;
b) providing labour hire workers to support NDIS providers; or
c) providing support, funding, guidance or assistance of any form to an NDIS provider.

I enclose the banning order as varied, and the reasons for my review decision at **Attachment A** to this notice.

Consequences of review decision
The original banning order made against Mr Reid is not disturbed and continues to have effect **from 5pm on 21 December 2022 (AWST).**

The variation takes effect **from 12.00am on 22 April 2023 until 12.00am on 22 December 2027 (AWST).**

Engaging in conduct that breaches a banning order is a contravention of section 73ZN(10) of the NDIS Act. A contravention of a banning order attracts a civil penalty of 1,000 penalty units for an individual ($275,000).

External review rights

If Mr Reid is dissatisfied with my review decision, he may apply to the Administrative Appeals Tribunal (AAT) for a review of the decision. He must apply within 28 days after receiving this notice of decision. Further information about applying to the AAT for a review can be found at https://www.aat.gov.au/apply-for-a-review/national-disability-insurance-scheme-ndis or by contacting the AAT on 1800 228 333.

Variation or revocation of banning order

Section 73ZO of the NDIS Act allows the NDIS Commissioner to vary or revoke a banning order at any time, on her own initiative, or in response to an application by the person against whom the order was made. If Mr Reid is minded to request a variation or revocation of the banning order against him, an application must be in accordance with the matters set out in section 73ZO of the NDIS Act.

Contact details

Should you have any queries about this matter, please do not hesitate to contact Pascal Moussa, Lawyer, on 02 9942 5726 or at pascal.moussa@ndiscommission.gov.au.

Yours sincerely



Sian Leathem

Complaints Commissioner

NDIS Quality and Safeguards Commission

21 April 2023

Encl: Attachment A – Statement of Reasons for Internal Review Decision

NATIONAL DISABILITY INSURANCE SCHEME ACT 2013 (CTH)
SECTION 73ZN BANNING ORDER

I, Sian Leathem, as delegate of the Commissioner of the NDIS Quality and Safeguards Commission under the *National Disability Insurance Scheme Act 2013* (the NDIS Act), make this banning order with respect to **Simon Reid** of 96 Amethyst Crescent, Mount Richon, WA 6112.

I make the order believing on reasonable grounds that Simon Reid is not suitable to be involved in the provision of supports or services to people with disability.

Pursuant to section 73ZN(2)(a)(iii) of the NDIS Act, I prohibit Simon Reid from having any involvement with or in the NDIS sector, in any capacity, for a period of five (5) years. This includes Simon Reid being prohibited from:

a) providing disability supports and services, directly or indirectly, to NDIS-funded participants;
b) providing labour hire workers to support NDIS providers; or
c) providing support, funding, guidance or assistance of any form to an NDIS provider.

My reasons for making this order are set out in the enclosed statement of reasons.

This order, which varies the banning order made on 21 December 2022, takes effect from 12.00am on 22 April 2023 until 12.00am on 22 December 2027 (AWST).

The original banning order made on 21 December 2022 remains effective from that date to the date of this variation.

Sian Leathem

Complaints Commissioner

Delegate of the NDIS Quality and Safeguards Commissioner

NDIS Quality and Safeguards Commission

21 April 2023

Attachment A

Statement of Reasons

Internal review decision – section 100 of the *National Disability Insurance Scheme Act 2013 (*NDIS Act)

Preliminary matters

1. This statement of reasons outlines why I have decided to vary the banning order made on 21 December 2022 under section 73ZN(2)(a)(iii) of the NDIS Act, which prohibited Mr Simon Reid from providing disability supports and services to NDIS-funded participants for a period of 5 years, effective from 5pm on 21 December 2022.

2. In this statement of reasons, I refer to the banning order made on 21 December 2022 as **the original decision**.

3. Section 99(1), table item 15 of the NDIS Act confirms the original decision can be subject to internal review (as it is identified as a 'reviewable decision').

4. Section 100(2) of the NDIS Act requires a request for review of a decision to be made within three months after receiving notice of the decision. I note Mr Reid requested an internal review of the original decision within the statutory deadline.

5. Section 100(6A) of the NDIS Act requires an internal reviewer to make a decision either:

    a. confirming the reviewable decision;

    b. varying the reviewable decision; or

    c. setting aside the reviewable decision and substituting a new decision.

Role of the internal reviewer

6. In reviewing the original decision, my task was to make the correct or preferable decision in accordance with the law and any relevant policies of the NDIS Commission. In doing so, I considered evidence that was before the original decision-maker, as well as any new evidence that was before me at the time of making my decision.

7. In deciding what is the correct or preferable decision, I needed to be satisfied on the balance of probabilities of any findings of fact that I made.

Decision

8. I have decided to **vary** the original decision.

9. The original decision is varied such that the scope of the banning order made against Mr Reid on 21 December 2022 is broadened to prohibit Mr Reid from having any involvement with or in the NDIS sector, in any capacity. This includes Mr Reid being prohibited from:

a. providing disability supports and services, directly or indirectly, to NDIS-funded participants;

b. providing labour hire workers to support NDIS providers; or

c. providing support, funding, guidance or assistance of any form to an NDIS provider.

10. This means the banning order made on 21 December 2022 (and varied on 21 April 2023) will remain in place until **12.00am on 22 December 2027 (AWST)**, unless it is varied or revoked earlier.

Materials on which my findings are based

11. In coming to my decision, I had regard to the following material:

a. the notice and statement of reasons for the original decision, dated 21 December 2022;

b. the NDIS Act;

c. the NDIS Quality and Safeguards Commission Compliance and Enforcement Policy, version 2.0 dated June 2019;

d. the NDIS Quality and Safeguards Commission Banning Order Policy, version 1.0 dated April 2022;

e. the submissions of Mr Tom Monks (Legal Practitioner Director from Tom & Co Legal Pty Ltd), made on behalf of Mr Reid, dated 30 November 2022;

f. materials which were before the original decision-maker, particularly:

i. Briefing note (EC22-002103), dated 17 November 2022, relating to the notice of intention to make a banning order against Mr Reid;

ii. Briefing note (EC22-002429), dated 2 December 2022, relating to the original decision-maker granting Mr Reid an extension of time to make submissions;

iii. Briefing note (EC22-002521), dated 21 December 2022, relating to the decision to make a banning order against Mr Reid;

iv. a National Disability Insurance Agency (NDIA) Tactical Intelligence Report, dated 18 August 2022;

v. the Statement of Material Facts, dated 19 October 2022, prepared by the NDIA and lodged in the criminal proceedings against Mrs Vida Reid;

vi. Australian Securities and Investments Commission (**ASIC**) Company Extracts for Hybrid Hive Pty Ltd and Forward Focused Group Pty Ltd;

vii. the sworn statement of Ms Gina Regali, dated 11 October 2022;

viii. the sworn statement of Mr Hrimnir Benediktsson, dated 12 October 2022;

ix. the sworn statement of Ms Jessica Rose Smith, dated 14 October 2022; and

g. correspondence between the original decision-maker and Mr Monks, specifically:

   i. the letter from Mr Monks to the original decision-maker, dated 22 November 2022, seeking an extension of time to make submissions;

   ii. the letter from original decision-maker to Mr Monks, dated 2 December 2022, granting an extension of time to make submissions; and

   iii. the letter from Mr Monks to original decision-maker, dated 7 December 2022, confirming no further submissions to be made; and

h. new evidence that arose during the course of the internal review, specifically:

   i. the application form submitted by Mr Reid on 29 October 2022 to ASIC seeking registration of the company, Dream Big Employment Pty Ltd;

   ii. an email sent by Mr Reid on 9 February 2023, at 13:43 (AWST), to various individuals seeking to recruit them as disability support workers for Vitality WA Pty Ltd; and

   iii. the sworn statement of Ms Cassandra Burke, dated 16 February 2023.

Relevant legislation

12. Section 73ZN(2) of the NDIS Act gives the Commissioner the discretion to make a banning order prohibiting or restricting a person employed or otherwise engaged by an NDIS provider as follows:

> *'The Commissioner may, by written notice, make an order (a banning order) prohibiting or restricting a person who is or was employed or otherwise engaged by an NDIS provider, or a person who is or was a member of the key personnel of an NDIS provider, from engaging in specified activities if:*
>
> *(a) the Commissioner reasonably believes that:*
>
> *i. the person has contravened, is contravening, or is likely to contravene this Act; or*
>
> *ii. the person has been involved in, or is likely to become involved in, a contravention of this Act by another person; or*
>
> *iii. the person is not suitable to be involved in the provision of supports or services to people with disability, having regard to any matters prescribed by the National Disability Insurance Scheme rules for the purposes of this subparagraph; or*
>
> *iv. there is an immediate danger to the health, safety or wellbeing of a person with disability if the person continues to engage in the specified activities; or*
>
> *(b) the person is convicted of an offence involving fraud or dishonesty; or*
>
> *(c) the person becomes an insolvent under administration.'*

13. Under section 73ZN(3) of the NDIS Act, a banning order may apply generally or be of limited application, and may be permanent or for a specified period.

14. Section 73ZN(7) of the NDIS Act states that the Commissioner may only make a banning order against a person after giving the person an opportunity to make submissions to the

Commissioner on the matter (except in certain circumstances outlined in section 73ZN(8) which are not relevant to this matter).

15. Section 73ZN(9) sets out the various requirements surrounding any banning order made as follows:

> *'The Commissioner must:*
>
> *(a) give the banning order to the person against whom the order is made; and*
>
> *(b) include in the banning order a statement of reasons for the order; and*
>
> *(c) if the banning order is against a person who is employed or otherwise engaged by an NDIS provider or is a member of the key personnel of an NDIS provider—notify the NDIS provider of the order as soon as possible.'*

Procedural history of matter

16. On 17 November 2022, the original decision-maker issued Mr Reid with a notice of intention to make a banning order against Mr Reid. In the letter, the original decision-maker invited Mr Reid to make submissions in relation to the proposed banning order by no later than 5pm on 30 November 2022.

17. On 22 November 2022, Mr Monks wrote to the original decision-maker to confirm he represented Mr Reid and to seek an extension of 28 days to provide submissions. Mr Monks requested the original decision-maker provide a response in relation to the extension request by 12pm on 25 November 2022.

18. The original decision-maker did not provide a response by the requested date.

19. On 30 November 2022, Mr Monks provided submissions on behalf of Mr Reid.

20. On 2 December 2022, the original decision-maker wrote to Mr Monks confirming receipt of the submissions made on 30 November 2022 and granting an extension of time to make further submissions. The new deadline for providing submissions was by 5pm on 14 December 2022.

21. On 7 December 2022, Mr Monks wrote to the original decision-maker informing him that Mr Reid did not wish to make any further submissions beyond those already made on 30 November 2022.

22. On 21 December 2022, the original decision-maker made a banning order against Mr Reid, prohibiting him from providing disability supports and services to NDIS-funded participants for a period of 5 years, under section 73ZN(2)(a)(iii) of the NDIS Act, on the basis that he had reasonable grounds to believe that Mr Reid was not suitable to provide supports or services to people with disability. The banning order took effect from 5pm (AWST) on 21 December 2022.

23. On 25 January 2023, Mr Monks, on behalf of Mr Reid, requested an internal review of the decision to make a banning order on 21 December 2022.

24. On 6 February 2023, the NDIS Commission emailed Mr Monks a letter of acknowledgement in relation to the request for an internal review. The letter invited Mr Reid to make submissions to

be considered as part of the internal review by 5pm on 20 February 2023. No submissions were received from or on behalf of Mr Reid.

25. On 22 March 2023, I wrote to Mr Monks to inform him that, in the course of conducting the internal review, I had become aware of information not considered by the original delegate. I provided Mr Monks with a copy of the new information and informed him of my intention to vary the banning order against Mr Reid in light of such material. The letter invited Mr Reid to make submissions to be considered as part of the internal review by 5pm on 5 April 2023. No submissions were received from or on behalf of Mr Reid.

Findings and Reasons

Consideration of material before original decision-maker

26. I have considered the material before the original decision-maker that the original decision was based upon.

27. I am of the view that, at the time the original decision was made, there was sufficient information available for the original decision-maker to form a reasonable belief that Mr Reid was not suitable to be involved in the provision of supports or services to people with disability.

28. I have found that the original decision-maker arrived at the correct or preferable decision, however, I disagree with:

    a. some aspects of how the original decision-maker assessed and weighed the evidence before him; and

    b. some of the findings of fact reached by the original decision-maker as a result.

29. In my view, the evidence before the original decision-maker, when properly assessed and weighed, enables only the following findings to be made:

    a. Hybrid Hive Pty Ltd (Hybrid) (ABN 96 651 140 108) and Forward Focused Group Pty Ltd (FFG) (ABN 98 643 878 639) are NDIS providers with whom Mr Reid is associated.

    b. Hybrid was formerly an unregistered NDIS provider operating in Western Australia, until a delegate of the NDIS Commissioner made a banning order on 21 December 2022 permanently prohibiting Hybrid from providing supports and services to NDIS-funded participants.

    c. Mr Reid has been the director of Hybrid since 17 February 2022 to present date. Specifically, he was a co-director of Hybrid between 17 February 2022 and 21 August 2022 and the sole director of Hybrid from 22 August 2022.

    d. FFG was formerly a registered NDIS provider operating in Western Australia, until a delegate of the NDIS Commissioner revoked the registration of FFG, and made a banning order prohibiting FFG from providing supports or services to NDIS-funded participants for a period of 10 years, on 20 December 2022.

    e. Mr Reid was a co-director of FFG from 28 August 2020 to 3 January 2021 and returned to the role on 1 November 2022 and presently remains a co-director.

f. On 19 October 2022, Mr Reid's wife and business partner, Mrs Vida Reid, was arrested and charged with several offences under sections 135.1(3) and 400.9(1) of the Criminal Code (which is contained in a Schedule to the *Criminal Code Act 1995* (Cth). Those charges related to Mrs Reid allegedly defrauding the National Disability Insurance Scheme (NDIS).

g. I acknowledge that the criminal charges Mrs Reid is facing, in and of themselves, are not relevant to the suitability of Mr Reid to engage in the NDIS sector. However, some of the evidence lodged in the criminal proceedings against Mrs Reid included information that related to Mr Reid and was relevant to an assessment of his suitability.

h. In particular, the NDIA lodged a Statement of Material Facts (dated 19 October 2022) in the criminal proceedings against Mrs Reid, which contained a number of allegations that Mr Reid had engaged in fraudulent activity in the NDIS sector. Specifically, the Statement of Material Facts relevantly provided that:

    i. Mr Reid and Mrs Reid are joint signatories to a company bank account for Hybrid, namely: ANZ Bank account numbered 016253 154173449 (**the Hybrid ANZ account**).

    ii. Zettai Pty Ltd (trading as Assist Plan Managers) (**Assist**) is a registered NDIS provider that performs the services of a Plan Manager, and at various times, Assist received invoices from Hybrid for services purportedly provided to various NDIS participants. Assist would then make claims to the NDIA for those services, receive funds from the NDIA, and then forward those funds to Hybrid.

    iii. between 25 January 2022 and 10 May 2022, Assist submitted 20 separate claims to the NDIA for services purportedly provided by Hybrid to an NDIS participant, Ms Meghan Goodwin. The claims resulted in the payment of $78,491.06 to Assist, who subsequently transferred those funds to the Hybrid ANZ account for which Mr Reid is a joint signatory. The NDIA asserts that Mr Reid, therefore, received money reasonably suspected of being the proceeds of crime.

    iv. Ms Goodwin has provided a witness statement that she did not receive the services purportedly provided in the claims referred to above.

    v. between 26 August 2022 and 21 September 2022, Assist submitted to the NDIA 11 separate reports of suspicious invoices it had received from FFG and Hybrid. I acknowledge that Mr Reid was not the director of FFG during this period of time. However, Mr Reid was the sole director of Hybrid during this period of time. Accordingly, I have only taken into consideration this information to the extent that it relates to Hybrid.

i. I note the original decision-maker took into account the allegations contained in the Statement of Material Facts that relate to FFG having submitted fraudulent claims against the NDIS plan of Ms Sarah-Jane Clulow between 24 November 2021 and 22 June 2022. In my view, this conduct cannot reasonably or appropriately be attributed to Mr

Reid given he was not the director of FFG during this period of time (or otherwise responsible for such conduct).

j. Similarly, the original decision-maker seems to have given weight to the allegation contained in the Statement of Material Facts that FFG and Hybrid are responsible for $1,485,527 in claims from the expired plans of NDIS participant. However, the original decision-maker had other material before him (specifically, a 'Tactical Intelligence Report' from the NDIA dated 18 August 2022) which acknowledges that it is not known what proportion of these claims against expired plans were for services that were indeed provided. Therefore, I have given minimal weight to this fact.

30. Turning to the other material before the original decision-maker, I note the original decision-maker had regard to numerous sworn statements provided to the NDIA by NDIS participants (or their carers) and former employees of FFG and Hybrid. Some of those statements support a finding that:

    a. Hybrid submitted claims against the NDIS plans of participants, in circumstances where it had not entered into service agreements with those participants (rather FFG was their service provider). Such claiming occurred without the knowledge or consent of the impacted participants; and

    b. Hybrid submitted false claims against the NDIS plans of participants for supports or services not delivered.

31. The following statements, in particular, provide examples of such conduct:

    a. The statement of Gina Regali, dated 11 October 2022, which alleges that FFG was the service provider for Ms Regali's children, however, on 5 January 2022, Ms Regali received an invoice (Invoice number: INV-0116) from Hybrid for supports and services purportedly provided to her child (Mr Angelus Regali-Park). Ms Regali had not heard of Hybrid and alleges the services claimed in the Hybrid invoice were not provided.

    b. The statement of Hrimnir Benediktsson, dated 12 October 2022, which alleges that FFG was the service provider for Mr Benediktsson, however, in August 2022, Mr Benediktsson discovered Hybrid had invoiced him on 7 occasions (between 1 June 2022 and 24 August 2022) for supports and services purportedly provided to him (Invoice numbers INV-0956, INV-0957, INV-0958, INV-0955, INV-1144, INV-1145 and INV-1146). Mr Benediktsson had not heard of Hybrid and alleges he did not receive any of the supports or services listed in the invoices.

    c. The statement of Jessica Rose Smith, dated 14 October 2022, which alleges that FFG was the service provider for Ms Smith's child, Charlie Harrison, however, on 16 August 2022, Ms Smith discovered Hybrid had invoiced her on five separate occasions (between 31 May 2022 and 10 August 2022) for supports and services purportedly provided to her child (Invoice numbers INV-1468, INV-1070, INV-1073, INV-1074 and INV-1075). Ms Smith had not heard of Hybrid and alleges the supports and services claimed in the Hybrid invoices were not provided.

32. I acknowledge that the original decision-maker relied upon further information from the statements I have referred to above (as well as additional statements I have not canvassed above). When doing so, the original decision-maker seems to have, at times:

    a. attributed liability to Mr Reid for conduct which occurred during a period of time where he was not the director of Hybrid or FFG (or otherwise in a position for which responsibility would attach for wrongdoing committed by those providers); and

    b. considered the same set of facts (or allegations) twice given they were variously expressed in different pieces of evidence.

33. For those reasons, I have not considered or given weight to such material.

The submissions of Mr Reid

34. I considered the submissions made by Mr Monks, on 30 November 2022, on behalf of Mr Reid. In summary, the submissions were that:

    a. the original decision-maker had not afforded procedural fairness to Mr Reid as the period of time granted to make submissions (12 days) was not sufficient in the context of such serious allegations;

    b. the criminal charges and bail conditions of Mrs Reid were not relevant to the suitability of Mr Reid;

    c. the notice of intention to make a banning order sent to Mr Reid on 17 November 2022 referred to the conduct of others, such as Mrs Reid, Hybrid and Mr Rejaul Alam (an employee of FFG) as opposed to the alleged wrongdoing of Mr Reid;

    d. linking Mr Reid to the wrongdoing allegedly committed by Hybrid on the basis of his shareholding and directorship is flawed;

    e. Mr Reid is in possession of evidence that supports the view that an FFG employee was engaging in corrupt practices and is likely the person responsible for the allegations the original decision-maker notified Mr Reid about; and

    f. Mr Reid rejected and/or denied having involvement in the following alleged conduct:

        i. Hybrid submitting claims against the NDIS plans of NDIS participants without their knowledge or consent;

        ii. Hybrid submitting falsified claims against the expiring or expired NDIS plans of NDIS participants;

        iii. Hybrid (or its employees) authorising payments of invoices on behalf of NDIS participants without their consent;

        iv. Hybrid (or its representatives) and FFG engaging in aggressive claiming activities against the NDIS plans of NDIS participants and making falsified claims for supports or services not delivered.

35. In relation to the submission outlined above at paragraph [34(a)], I disagree that Mr Reid has been denied procedural fairness. I am satisfied Mr Reid has been given several opportunities to respond to the allegations against him, but he has elected not to utilise them. Those opportunities were afforded on the following occasions:

    a. On 2 December 2022, the original decision-maker granted Mr Reid an extension of time to make submissions in relation to the proposed banning order. I acknowledge the extension was granted ***after*** Mr Reid had already made submissions, however it remained open to Mr Reid to amend or add to those submissions. Mr Reid declined to make any further submissions – he was content to rely on the submissions he already made;

    b. On 6 February 2023, Mr Reid was invited to make submissions in support of his request for an internal review and inform me of any matters he wished to bring to my attention. No submissions were received from Mr Reid; and

    c. On 22 March 2023, I invited Mr Reid to make submissions in relation to new evidence pertaining to him that arose during the course of the internal review. No submissions were received from Mr Reid.

36. Consequently, I find the requirement to provide Mr Reid with an opportunity to respond to matters relevant to the banning order has been met.

37. In relation to the submission outlined above at paragraph 34(b), I agree that the bail conditions of Mrs Reid are not relevant to the assessment of Mr Reid's suitability to engage in the NDIS sector, and I note the original decision-maker removed such considerations from the original decision. The criminal charges laid against Mrs Reid, however, are a different matter. As noted above, the evidence lodged in those criminal proceedings contain allegations that Mr Reid engaged in fraudulent activity, and to that extent, such material is directly relevant to his suitability as it indicates Mr Reid engaged in serious wrongdoing toward NDIS participants and in the broader scheme of the NDIS.

38. In relation to the submissions outlined above at paragraph 34(c) and (d), I disagree with the contentions made by Mr Monks. It is appropriate to attribute liability to Mr Reid for the wrongdoing of the corporate entity he directs and the conduct of the workers employed or otherwise engaged by that company. The law regards Mr Reid as being in a position of responsibility, authority and control over Hybrid. A person who stands in such a position and is able to exert significant influence over the planning, directing and controlling of the activities of an entity can be, appropriately, held accountable for impropriety caused by the corporate entity (or its officers). Additionally, it is worth noting that company directors are subject to a range of legal duties under the *Corporations Act 2001*. Primary amongst these is the duty to act with care and diligence (under section 180 of the Corporations Act). Directors must exercise their powers and discharge their duties with the degree of care and diligence that a reasonable person would exercise if he or she were a director in the company's circumstances and had the same responsibilities of that director. In my view, this duty requires a director to be familiar with, stay informed and make appropriate enquiries about the company's activities. Mr Reid should have been aware of the conduct allegedly being engaged in by, and within Hybrid. Lastly, I note that I

do not attribute much weight or significance to Mr Reid's shareholding in any companies, it is his directorship of an entity, which in my view, links him to any liability.

39. In relation to the submission outlined above at paragraph 34(e), I note that despite Mr Reid's claim of being in possession of evidence that exculpates him of all wrongdoing alleged in this matter, he did not provide such material to the original decision-maker (despite being requested to do so) nor has he submitted such evidence for consideration in this internal review. As such, I attribute no weight or significance to that particular submission in the absence of any detail or sense as to what Mr Reid is referring to.

40. In relation to the submissions outlined above at paragraph 34(f), I attribute minimal weight and significance to Mr Reid's wholesale denial and rejection of the various allegations made against him. Mr Reid did not provide any information or evidence to support such assertions; accordingly, I can do no more than note his refutation.

Consideration of new evidence that arose during the course of the internal review

41. In the course of undertaking this internal review, I became aware of new information that indicated Mr Reid may be involved in businesses (other than FFG and Hybrid) that have links to the NDIS, namely: Dream Big Employment Pty Ltd (**Dream Big**) and Vitality WA Pty Ltd (**Vitality**). Mr Reid's involvement in these entities seems to have commenced around the time he was issued the banning order on 21 December 2022.

42. Specifically, the material before me consisted of the following:

    a. an application form submitted by Mr Reid on 29 October 2022 to ASIC seeking registration of the company, Dream Big, an NDIS provider;

    b. an email sent by Mr Reid on 9 February 2023 to numerous individuals seeking to recruit them as disability support workers for Vitality, a company that provides labour hire workers to NDIS providers and of which Mr Reid is a director;

    c. the sworn statement of Ms Cassandra Burke, dated 16 February 2023, which indicated Mr Reid had established or was the owner of a new business (Dream Big) that operated as an NDIS provider.

43. I find it concerning that Mr Reid seems to have made various attempts to remain involved in the NDIS sector in circumstances where he was subject to significant regulatory action that was specifically intended to prohibit him from engaging in it. In particular, the establishment of Vitality and Dream Big indicates to me that Mr Reid may be finding strategic or tactical ways to circumvent the terms of the banning order made against him and that it is necessary to broaden the scope of the banning order accordingly.

Requirement to take proportionate and risk responsive action under NDIS Act

44. The NDIS Commission is required to conduct compliance and enforcement activities in a risk responsive and proportionate manner (section 181D(4)(b) of the NDIS Act).

45. The NDIS Commission's Banning Order Policy notes that a banning order can have a significant impact on the recipient and on people with disability, and as such, it will be reserved for

circumstances where it is needed to protect people with disability from the risk of being exposed to conduct that falls well short of acceptable standards. However, a banning order should not be for a longer period than is considered necessary.

46. Having regard to the ongoing investigation by the NDIA and law enforcement agencies into the fraudulent conduct Mr Reid is alleged to have engaged in, and the serious nature of those allegations, I consider Mr Reid is not suitable at this time to be an NDIS provider.

47. I consider that a banning order is appropriate in this case. The banning order will remain in place until **22 December 2027 at 12:00am (AWST)**. The period of the banning order corresponds with the amount of time it is reasonably expected to take for the current regulatory and legal processes that are in motion in relation to Mr Reid to conclude. Upon the determination of those processes, the banning order can be revisited and consideration given to whether it should be revoked or varied.

48. In the meantime, the banning order will protect NDIS participants from the risk of being exposed to fraudulent claims and having the funds in their NDIS plans depleted.

Conclusion

49. The NDIS Provider Register published on the NDIS Commission's website will be updated to reflect the varied banning order made against Mr Reid.



Sian Leathem

Complaints Commissioner

Delegate of the NDIS Quality and Safeguards Commissioner

NDIS Quality and Safeguards Commission

21 April 2023